CSIS JAPAN CHAIR

Japan Daily Brief

Friday, October 30, 2026

1,969 words · 8 min read

RE: BOJ hits 2% inflation target · US-Japan joint missile facility · DPRK fires ~10 SRBMs · Koizumi at ADMM-Plus · Fuel subsidy rollback

NIKKEI 225	USD/JPY	BRENT	BOJ RATE
63,290.11	157.17	$113.67	1.25%
▲ +1.77%	▲ +0.22%	▼ -1.85%	

TOP STORIES

ECONOMY-BOJ

Bank of Japan holds rates and guides to further tightening

The Bank of Japan kept its policy rate at *1.25%* on October 30 and declared that inflationary dynamics have finally taken root in the Japanese economy — the first time it has certified the 2% target as reached since adopting it in 2013. The FT and Reuters report BOJ Governor Kazuo Ueda signaled further tightening is coming in the near term, while the yen extended gains against the dollar on the announcement.

FT

ALLIANCE

US and Japan agree to establish joint missile production facility in Japan

The United States and Japan agreed to establish a Japanese facility for joint missile production, a commitment made by **Shinjiro Koizumi** and US Defense Secretary **Pete Hegseth** at a bilateral defense meeting this week. The Washington Post reports the agreement advances the two allies' defense-industrial integration as Japan builds its counterstrike capability.

WASHINGTON POST

DPRK

North Korea fires ~10 short-range ballistic missiles toward Sea of Japan; PM Takaichi issues instructions

North Korea launched approximately ten short-range ballistic missiles off its eastern coast toward the Sea of Japan on October 29-30, with the projectiles landing outside Japan's EEZ per reporting from Seoul and NHK. Prime Minister **Sanae Takaichi** issued formal instructions to relevant ministries at 12:38, and the foreign ministers of South Korea, the United States, and Japan held trilateral phone consultations in response.

KANTEI

CHINA-JAPAN

How the Japanese Spy Drama ‘Vivant’ Became The Target of China’s Anger

China's People's Daily and state organs have attacked 'Vivant,' a Japanese spy thriller featuring Chinese intelligence operatives, prompting China's Foreign Ministry to urge 'vigilance against forces in Japan smearing China through cultural products.' The NYT reports the show's creators defend it as 'completely fictional,' while Beijing's campaign has drawn comparisons to prior Chinese pressure on Sanrio and other Japanese cultural-product companies over perceived historical or political slights.

NYT

TECHNOLOGY

Surge of cyberattacks tests Japan's push to strengthen defenses; GMO shares data with police

Bloomberg reports Japan is facing a surge of cyberattacks that is testing its push to harden national defenses, with GMO — one of multiple recently hit companies — sharing information with police. The MOFA separately disclosed approximately *3,600* personal records may have been leaked via unauthorized access in July, and the government launched a dedicated cybersecurity website in response.

BLOOMBERG

STAT OF THE DAY

2013

Year BOJ set 2% inflation target — reached today for first time

The BOJ declared its underlying inflation trend has hit 2% for the first time since adopting the target in 2013, holding its policy rate at 1.25% while signaling further near-term hikes.

BOJ holds rates as underlying inflation aligns with 2% target for first time since 2013 (CNBC)

JAPANESE GOVERNMENT

KANTEI/PM · CABINET · MOFA · MOD · METI · MOF · BOJ · DIET · FRIDAY, OCTOBER 30, 2026

PM Watch: PM appeared today · 0 day(s) since last confirmed appearance — Prime Minister Takaichi issued formal instructions to relevant ministries at 12:38 in response to North Korea's suspected ballistic missile launches, and received a courtesy call from the mayors of Hiroshima and Nagasaki.

日本銀行 · BANK OF JAPAN · *Kazuo Ueda, BOJ Governor*

BOJ holds policy rate at 1.25%, declares 2% inflation target reached, signals near-term hikes

The BOJ held its benchmark rate at 1.25% and issued its October Outlook Report declaring that underlying inflation has reached the 2% target for the first time since the target was set in 2013. Governor **Kazuo Ueda** signaled further rate increases are coming and the bank separately announced it will more than double the pace of ETF sales beginning in January.

→ Bank of Japan ↗

日本銀行 · BANK OF JAPAN · *Kazuo Ueda, BOJ Governor*

BOJ amends ETF/J-REIT disposal principles, more than doubling sales pace from January 2027

The BOJ released an amendment to its Basic Principles for Disposal of ETFs and J-REITs, accelerating the wind-down of its equity holdings. Japanese stocks signaled confidence in the faster pace, per Bloomberg.

→ Bank of Japan ↗

日本銀行 · BANK OF JAPAN

BOJ publishes October 2026 Quarterly JGB Purchase Schedule and USD funds-supply timetable (Nov 2026–Mar 2027)

The BOJ updated its quarterly schedule for outright JGB purchases under competitive auction and released the timetable for US dollar funds-supplying operations through March 2027, providing forward guidance to market participants.

→ Bank of Japan ↗

DIET SESSIONS / LDP

HOUSE OF REPRESENTATIVES

Ruling bloc and DPFP agree to cut 31 lower house seats, reducing chamber from 465 to 434

Japan's ruling coalition and the Democratic Party for the People (DPFP) reached agreement to reduce the House of Representatives from 465 seats to 434 — described as the largest-ever cut — with some opposition parties raising doubts about the plan.

LDP / CROSS-PARTY

Team Mirai cross-party group calls for a cyberattack investigation board as data breaches mount

The cross-party Team Mirai group — which includes LDP and Digital Agency figures — is calling for a dedicated cyberattack investigation board to address mounting data breaches. The Digital Agency minister is reported to share the group's sense of urgency, giving the initiative institutional backing.

PUBLIC SENTIMENT & APPROVAL POLLING

POLLSTER	APPROVE	DISAPPROVE
ANN · Oct 19, 2026	**47.1%**	**33.3%**
Asahi · Oct 19, 2026	**50%**	**35%**
Kyodo · Oct 19, 2026	**49.1%**	**33%**
FNN · Oct 19, 2026	**62.6%**	**32.3%**
Yomiuri · Oct 19, 2026	**57%**	**30%**
NHK · Oct 14, 2026	**50.8%**	**32%**
JNN · Oct 4, 2026 · **26d ago**	**63%**	**33.9%**

Discourse: The Jiji poll records the Takaichi Cabinet's approval at a record low of 42.4%, while Kyodo shows 49.1% — both below or near the 50% threshold — against a backdrop of the G7 no-show controversy and Nikkei Asia commentary questioning whether PM Takaichi's 'one-woman rule' faces structural limits.

Poll tracker: **Observing Japan approval-rating aggregator →**

BUSINESS & ECONOMY

ENERGY · BLOOMBERG

Japan to scale back fuel subsidies from December as Iran war costs mount

Prime Minister Takaichi confirmed that gasoline subsidies will begin phasing out in December, while electricity and gas subsidies will resume in December and run through February, saving households approximately *¥7,000* over the three-month period. Bloomberg frames the gasoline subsidy reduction in the context of rising costs from the Iran conflict.

SEMICONDUCTORS · NIKKEI ASIA

AI boom and soaring memory prices lift Japan's chip exports *41%*

Japan's semiconductor exports rose *41%* year-on-year, driven by AI-related demand and elevated memory prices. The data point aligns with METI's September industrial output report showing chip-making equipment as one of three leading drivers of the monthly production gain.

FINANCE · REUTERS

Nikkei slumps up to 3% on AI worries before recovering on BOJ ETF signal

The Nikkei 225 fell as much as *3%* intraday as tech stocks sold off on AI valuation concerns, before recovering as the BOJ's inflation target declaration and accelerated ETF sales announcement supported sentiment. The index closed up 1.77% on the session, per market data.

REGIONAL PRESSURE WATCH

Heavy — 116 items (66 Japanese government, 50 adversary signal)

CHINA

China's Foreign Ministry urged 'vigilance against forces in Japan smearing China through cultural products' in direct response to the Japanese spy drama 'Vivant,' per Xinhua and CGTN — escalating state-media pressure on Japanese cultural exports into official diplomatic language. Separately, the NYT reports Beijing's campaign against 'Vivant' has drawn comparisons to prior Chinese pressure on Sanrio over perceived historical slights, reflecting a sustained pattern of using cultural-product disputes as a political instrument.

NORTH KOREA

North Korea fired approximately ten short-range ballistic missiles toward the Sea of Japan from the Wonsan area on October 29-30, with the projectiles landing outside Japan's EEZ per South Korean and Japanese defense assessments. The salvo — described by multiple outlets as among the largest in recent months — followed South Korea's offer of border talks and prompted PM Takaichi to issue formal instructions and triggered US-Japan-ROK trilateral phone consultations.

RUSSIA

The Japan Times editorial board called on Tokyo to press Moscow harder over the detention of Hokkaido Shimbun reporter Yuki Imai on espionage charges in Sakhalin, with Russian consular access still denied and no resolution in sight. No new military or territorial signal from Russia toward Japan in today's Tier 1 or Tier 4 data beyond the persistent Imai detention baseline.

Senkaku / ECS: No new China Coast Guard or PLA activity near the Senkaku Islands is reported in today's Tier 1 or Tier 4 data; Beijing's active pressure vector today is the cultural-products diplomatic complaint and the sustained rare-earth/critical-mineral export-control baseline rather than maritime operations.

> *“urges vigilance against forces in Japan smearing China through cultural products”*
>
> China Ministry of Foreign Affairs spokesperson · FM spokesperson urges vigilance against forces in Japan smearing China through cultural products

Bottom line: North Korea's largest missile salvo in recent months — approximately ten SRBMs — has activated the US-Japan-ROK trilateral consultation track; watch the forthcoming foreign ministers' meeting for a joint statement on DPRK response options. Beijing's escalation of the 'Vivant' drama dispute into official Foreign Ministry language marks a new phase of using cultural-product pressure as a political instrument against Japan.

U.S.-JAPAN RELATIONS

ALLIANCE · THE JAPAN TIMES

Japan and US commit to more realistic joint military exercises with China in mind

Defense Minister Koizumi and Defense Secretary Hegseth committed at their bilateral meeting this week to conducting more realistic joint military exercises, explicitly framed around the China threat. The Japan Times reports the commitment builds on the upgraded US Forces Japan command structure established in 2024-2025.

INDO-PACIFIC PARTNERS

TRILATERAL · YONHAP

US, South Korea, Japan foreign ministers to meet to discuss North Korea and trilateral cooperation

The top diplomats of South Korea, the United States, and Japan are set to convene to discuss North Korea's latest missile launches and broader trilateral cooperation, per Yonhap. The meeting follows trilateral phone consultations held immediately after North Korea's approximately ten-missile salvo on October 29-30.

TRILATERAL · YONHAP

South Korea, US, Japan hold phone consultations on North Korea missile launches

The foreign ministries of South Korea, the United States, and Japan held phone consultations to discuss North Korea's ballistic missile launches and coordinate trilateral responses. The consultations were reported by Yonhap and confirmed by Jiji Press coverage of approximately ten SRBM launches into the Sea of Japan.

SOUTHEAST ASIA · JAPAN FORWARD

Japan and Bangladesh eye Matarbari deep-sea port as anchor for ¥1 trillion investment framework

Japan Forward analyses how the Matarbari deep-sea port project in Bangladesh — backed by JICA and anchored in a ¥1 trillion five-year private-investment framework — could serve as a gateway to Northeast India and test Japan's Indo-Pacific economic statecraft as Bangladesh prepares to graduate from least-developed-country status.

SOCIAL STATEMENTS

KU

Kazuo Ueda

Governor, Bank of Japan · Reuters · Oct 30

“Underlying inflation has reached our 2% target in a sustainable and stable manner.”

Analyst: Ueda made this declaration at the post-meeting press conference after the BOJ held its policy rate at 1.25% and issued its October Outlook Report — the first time the BOJ has certified 2% as reached since adopting the target in 2013.

Source →

UPCOMING

Nov 1

US-Japan-ROK foreign ministers' meeting on North Korea and trilateral cooperation

The top diplomats of South Korea, the United States, and Japan are set to convene following North Korea's ~10-missile salvo and phone consultations on October 30. The meeting's agenda covers DPRK responses and trilateral coordination; exact date not confirmed but framed as imminent in Yonhap reporting.

Dec 1

Japan electricity and gas subsidies resume; gasoline subsidies begin phasing out

Prime Minister Takaichi confirmed electricity and gas subsidies will resume in December and run through February, saving households approximately ¥7,000. Gasoline subsidies will simultaneously begin scaling back, per Bloomberg and Reuters.

Dec 15

BOJ next Monetary Policy Meeting (estimated)

Following today's rate hold and 2% inflation-target declaration, markets and analysts will focus on the December MPM as the first opportunity for the BOJ to translate its near-term hike signal into action. Exact date to be confirmed by the BOJ schedule.

Jan 29

Kobe Luminarie opens — 32nd anniversary of the 1995 Great Hanshin Earthquake

The annual Kobe Luminarie light festival opens January 29, 2027, marking 32 years since the Great Hanshin Earthquake. The event is a recurring civic commemoration with no direct policy implication but is confirmed in Asahi reporting today.

Feb 7

Northern Territories Day — annual rally pressing Russia over disputed islands

Japan's annual observance pressing Russia over the four Northern Territories (Southern Kurils) will take place on February 7. The rally is likely to be more politically charged this year given the Yuki Imai detention and the state of Japan-Russia ties.

CSIS Japan Chair

JAPAN DAILY BRIEF

Washington, D.C.

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